zergo
People Technology

Zergotech Financials

freedom
FREEDOM OF MOVEMENT

v.210419

Zergotech Basics

FUNDING

Owner Introduced Funds:
AU$381k (US$286k)

Australian Government Grants
AU$106k (US$80k)

Total Funding To Date
AU$484k (US$363k)

MAJOR STARTUP COSTS

Product Development:
AU$186k (US$140k)

Manufacturing Costs:
AU$166k (US$125k)

Advertising spend:
AU$43k (US$32k)

Consulting & Accounting:
AU$48k (US$36k)

TRIAL BATCH SALES

Units Sold: 160 Sales

Revenue: AU$50k (US$38k)

*using AUDUSD FX rate of 0.75

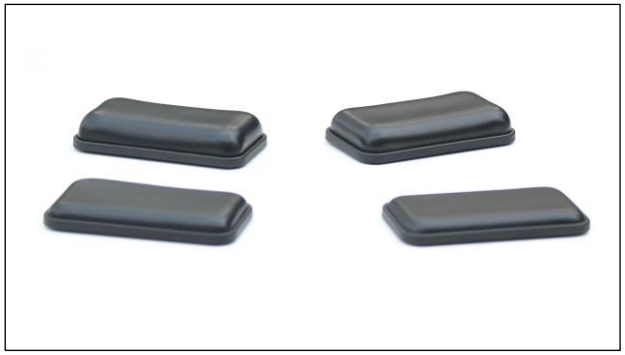
**figures as of 19 April 2021

Zergotech Products - Retail Pricing

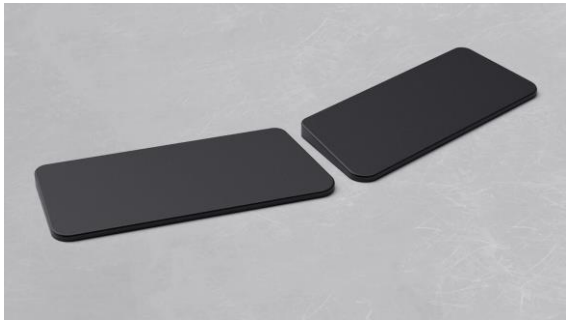
freedom
FREEDOM OF MOVEMENT

Freedom Keyboard: US$339

Contains: Keyboard, Slim Sliders, Keycap Puller, O-Rings



Sliding Palm Rests
Slim Profile: US$39/pair
Tall Profile: US$39/pair



Fixed Palm Rests
US$39/pair

Blank Keycaps
US$39/set

COGS and Assumptions

COGS BREAKDOWN

Internals / PCBs	
UNITS	**COST**
1,000	$33
5,000	$29
10,000	$28
20,000	$25
25,000	$24
30,000	$23

Plastics / Housing	
UNITS	**COST**
1,000	$55
5,000	$47
10,000	$42
20,000	$39
25,000	$37
30,000	$36

Assembly	
UNITS	**COST**
1,000	$3
5,000	$3
10,000	$2
20,000	$2
25,000	$2
30,000	$2

Keyboard COGS	
1,000 Units	$91
5,000 Units	$79
10,000 Units	$72
20,000 Units	$66
25000 Units	$63
30,000 Units	$61

COGS pricing used for forecasts

Resale Margins	
Online Store	0%
Direct to Reseller	30%
Distributor	50%

Reseller discounts as a percentage off the retail price.

Weighting by Sales Channel	
Online Website	35%
Direct to reseller	10%
Distributor Network	55%

Assumptions on the number of sales made per sales channel. We believe online sales direct from manufacturer will be a strong source of sales, while most of the volume would be via the established distributor network.

Breakdown by Sales Channel and Volume

Gross Profit Grid
Volumes (columns) against Sales Channel (rows)
*figures in USD

Online Sales						
Units	1,000	5,000	10,000	20,000	25,000	30,000
COGS	$91	$79	$72	$66	$63	$61
RRP	$339	$339	$339	$339	$339	$339
Discount	0%	0%	0%	0%	0%	0%
Sale Price	$339	$339	$339	$339	$339	$339
Margin	**$248**	**$260**	**$267**	**$273**	**$276**	**$278**
Revenue	$339,000	$1,695,000	$3,390,000	$6,780,000	$8,475,000	$10,170,000
COGS	-$91,000	-$395,000	-$720,000	-$1,320,000	-$1,575,000	-$1,830,000
Gross Profit	$248,000	$1,300,000	$2,670,000	$5,460,000	$6,900,000	$8,340,000

Direct to Reseller						
Units	1,000	5,000	10,000	20,000	25,000	30,000
COGS	$91	$79	$72	$66	$63	$61
RRP	$339	$339	$339	$339	$339	$339
Discount	30%	30%	30%	30%	30%	30%
Sale Price	$237	$237	$237	$237	$237	$237
Margin	**$146**	**$158**	**$165**	**$171**	**$174**	**$176**
Revenue	$237,300	$1,186,500	$2,373,000	$4,746,000	$5,932,500	$7,119,000
COGS	-$91,000	-$395,000	-$720,000	-$1,320,000	-$1,575,000	-$1,830,000
Gross Profit	$146,300	$791,500	$1,653,000	$3,426,000	$4,357,500	$5,289,000

Distributor Network						
Units	1,000	5,000	10,000	20,000	25,000	30,000
COGS	$91	$79	$72	$66	$63	$61
RRP	$339	$339	$339	$339	$339	$339
Discount	50%	50%	50%	50%	50%	50%
Sale Price	$170	$170	$170	$170	$170	$170
Margin	**$79**	**$91**	**$98**	**$104**	**$107**	**$109**
Revenue	$169,500	$847,500	$1,695,000	$3,390,000	$4,237,500	$5,085,000
COGS	-$91,000	-$395,000	-$720,000	-$1,320,000	-$1,575,000	-$1,830,000
Gross Profit	$78,500	$452,500	$975,000	$2,070,000	$2,662,500	$3,255,000

Financial Forecasts

Assumptions of sales : **35%** of sales from online store, **10%** direct to retailers, and **55%** via the distributor network. The below figures show the average Gross Profit per manufacturing volume on the above sales assumptions.

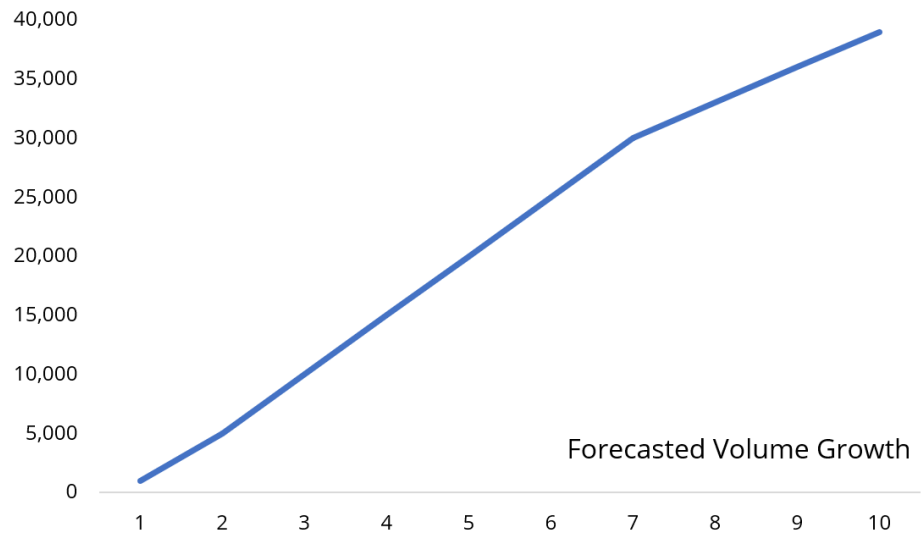
Units	**1,000**	**5,000**	**10,000**	**20,000**	**25,000**	**30,000**
Avg Sale Price	$236	$236	$236	$236	$236	$236
COGS	$91	$79	$72	$66	$63	$61
Avg Margin	$145	$157	$164	$170	$173	$175
Gross Profit $	**$144,605**	**$783,025**	**$1,636,050**	**$3,392,100**	**$4,315,125**	**$5,238,150**

*figures in USD

Financial Forecasts

SALES FORECAST					
Year	**Units**	**Avg Sale Price**	**Avg COGS**	**Avg Margin**	**Gross Profit**
1	1,000	$236	$91	$145	$144,605.0
2	5,000	$236	$79	$157	$783,025.0
3	10,000	$236	$72	$164	$1,636,050.0
4	15,000	$236	$68	$168	$2,544,075.0
5	20,000	$236	$66	$170	$3,392,100.0
6	25,000	$236	$63	$173	$4,315,125.0
7	30,000	$236	$61	$175	$5,238,150.0
8	33,000	$236	$59	$177	$5,761,965.0
9	36,000	$236	$58	$178	$6,285,780.0
10	39,000	$236	$57	$179	$6,809,595.0
				Total	**$36,910,470.0**

*figures in USD



Sales volumes are expected to grow exponentially in the first few years, followed by continued growth due to increasing populations, evolving markets in underdeveloped countries, and an increasing awareness of the benefits of ergonomic technologies.

This growth will be dependent on the full implementation of distributor and reseller networks, increased advertising investment, and increased brand and product awareness.

These figures are based on discussions with resellers, competitors, research papers, and general market research and experience.

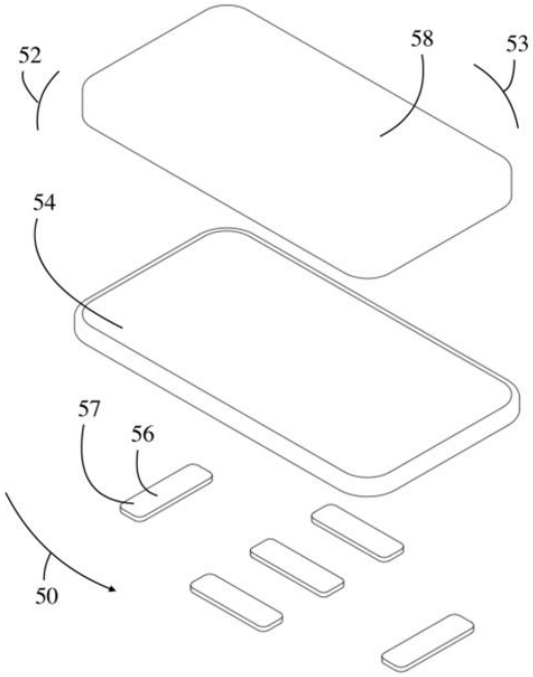
Patents Pending

MARKET DOMINANCE

The Freedom Keyboard will have market dominance with the Sliding Palm Rest innovations. Sliding Palm Rests have been proven to be effective through ergonomic study (link) and customer feedback, and Zergotech will secure this innovation for the next 10 years.

The Zergotech Freedom and associated palm sliders are protected under Australian pending patent (2019901121), and International patent application (PCT/AU2020-050326). The Zergotech Freedom is design registered under Australian design registration (201911884).

Final Patent registration and payment for individual regions and countries are due by October 2021



Potential COGS Savings

Manufacturing costs can be further reduced with more efficient manufacturing. Degradation in quality is not recommended as it will take away from the “premium” concept of the product, however a company with resources, established manufacturing networks and knowledge, will be able to find ways to reduce costs on materials.

Possible COGS improvements include:

1. Packaging – The cost of current packaging is very high and was utilized for the first batch due to time constraints, and to provide the “premium” concept of this newly introduced product. Reducing the packaging size will help with shipping costs. Reducing the quality of the packaging will reduce COGS.

2. Glass slider bay – The glass material used in the keyboard provides the lowest friction and durability from the sliding palm rests. Other inexpensive materials, such as High-Pressure Laminate, as used on office desks, could be used as a replacement, however this might take away from the “premium” concept.

3. Palm Rest Cushioning – Both the sliding and fixed palm rests use a high quality silicon based gel padding with a PVC leather cover. These are costly to manufacture, and the choice of different materials may provide cost savings.

4. Internal PCB and Components – The selection of cheaper internal components, and the removal of decorative silk screen (PCB white color), will both help to reduce COGS

Potential Branched Products

The Zergotech Freedom targets the niche overlapping markets of Ergonomic AND Mechanical or Gaming keyboards. Individually, the conventional Ergonomic Keyboard market, and Mechanical Keyboard market are extremely large.

CONVENTIONAL ERGONOMIC KEYBOARDS WITH SLIDING PALM RESTS

In the Ergonomic Keyboard market, we have high confidence that the production of an inexpensive, full sized, rubber membrane switch and conventional keyboard, that also employs the sliding palm rests would be a high-volume product.

MECHANICAL GAMING KEYBOARDS WITH SLIDING PALM RESTS

From customer feedback there is demand for a Mechanical Gaming Keyboard integrating the use of sliding palm rests.

SLIDING WRIST BRACE

A wrist brace that also utilizes the sliding concept in some form would be an effective ergonomic solution.

freedom

FREEDOM OF MOVEMENT

KEYKORTEX™

INTEGRATED ON-BOARD PROGRAMMING MODULE